

AMKOR TECHNOLOGY, INC.

NASDAQ: AMKR | Semiconductors — OSAT / Advanced Packaging & Test

RATING	12-MONTH TARGET	IMPLIED RETURN
HOLD (Conviction: Medium)	US\$ 76.00	+1.7% vs CMP US\$ 74.74

Current Price (CMP)	US\$ 74.74	Market Cap	US\$ 18.53 Bn
52-Week High / Low	US\$ 79.23 / 17.81	Enterprise Value	US\$ 18.29 Bn
P/E (TTM)	42.99x	Forward P/E	34.03x
P/B	4.09x	EV / EBITDA (TTM)	15.31x
ROE (TTM)	10.0%	ROCE (FY25)	7.8%
Book Value / Share	US\$ 18.00	Net Cash (FY25)	US\$ 474 M
Dividend Yield	0.45%	Beta (5Y)	2.31
Shares Outstanding	247.9 M	Insider / Instit. Own.	30.0% / 50.2%

Investment thesis (one line): Genuine AI advanced-packaging growth engine — but the re-rating to 43x trailing earnings has already priced most of it.

Sector / Sub-sector	Information Technology — Semiconductors / OSAT, Advanced Packaging & Test
Investment horizon	12 months (structural thesis 3–5 years)
Report date	03 June 2026
Prepared by	Senior Equity Research Analyst — Semiconductors & Technology Hardware
Data source	stockanalysis.com (financials, fetched 02–03 Jun 2026); company filings & Q1-2026 call (qualitative)

DISCLAIMER: For information only; not investment advice. Figures are sourced from stockanalysis.com and may differ marginally from GAAP filings. Forward estimates marked (E) are the analyst's own and may not be realised. AMKR is family-controlled (Kim family) and AI-cycle-sensitive (beta 2.31).

2. INVESTMENT THESIS

- **Reason 1 — AI advanced-packaging inflection:** Management guides the AI data-center advanced-packaging portfolio (2.5D integration + High-Density Fan-Out / HDFO) to **triple in 2026**, with computing end-market revenue up >20% YoY. Q1-2026 already delivered record advanced-packaging revenue and +27% YoY group growth — the mix-shift toward higher-value AI/HPC packaging is the core re-rating driver.
- **Reason 2 — Reshoring optionality (Arizona):** The US\$ 7 Bn Peoria, Arizona campus — the first high-volume advanced-packaging OSAT in the US, backed by a ~US\$ 400 M CHIPS grant + 35% investment tax credit (~US\$ 2.8 Bn of public support) — targets a ~US\$ 1 Bn run-rate, serving Apple and NVIDIA. Production from early 2028; meaningful only from 2029–2030 but a structural, geopolitically-favoured growth leg.
- **Reason 3 — Capacity locked by customers:** A new HDFO data-center CPU program carries customer **prepayment and loading agreements**, de-risking the capex; utilisation has climbed to the 'low-70s' (from the 50s a year ago) with advanced lines 'filling up' — evidence of real, contracted demand rather than speculative build.
- **Near-term catalyst (6–12 months):** H2-2026 ramp of the HDFO CPU program (meaningful from Q3, scaling into 2027) and the 21-May-2026 Investor Day roadmap; Q2-2026 already guided to +7% QoQ with gross margin stepping up to 14.5–15.5% and EPS US\$ 0.42–0.52.
- **Biggest structural risk:** Valuation. At 43x trailing / 34x forward earnings — roughly 2.5x AMKR's own 5-year average multiple — the stock already discounts flawless AI execution, while a 3x capex surge (US\$ 2.5–3.0 Bn in 2026) turns free cash flow deeply negative and Apple still represents ~30% of sales.

3. BUSINESS OVERVIEW

- **Core model:** Amkor is the world's #2 Outsourced Semiconductor Assembly & Test (OSAT) provider. It does not design or own chip IP — it packages and tests semiconductors for fabless companies, IDMs and foundries on a service basis, monetising scale, packaging technology (flip-chip, wafer-level, SiP, 2.5D, HDFO) and global capacity.
- **End-market mix (FY2025):** Communications (smartphones/tablets, iOS-heavy) ~40%, Computing (AI/HPC, data-center, PC) the fastest grower (+20% guided in 2026), plus Automotive & Industrial and Consumer. The growth narrative is a deliberate mix-shift from cyclical mobile toward AI computing.
- **Manufacturing footprint:** Concentrated in Asia — Korea (advanced-packaging hub, cleanroom +~20% by end-2026), Vietnam (ramping, absorbing SiP migration to free Korea capacity), plus China, Japan, Philippines, Malaysia, Portugal — now extending to Arizona, USA.
- **Customer concentration (high):** Apple ~29.8% and Qualcomm ~11.1% of FY2025 net sales; the top-10 customers are ~72% of revenue. This is the single largest business-quality watch-item — revenue visibility is strong but single-customer dependent.
- **Recent strategic developments:** CEO transition (Giel Rutten retired 31-Dec-2025; 20-year insider Kevin Engel CEO from 01-Jan-2026); Arizona expanded to a US\$ 7 Bn commitment with +67 acres added (May-2026); 2026 capex guided up ~3x to US\$ 2.5–3.0 Bn; Investor Day held 21-May-2026.
- **Ownership / control:** Amkor remains **family-controlled by the founding Kim family** (Executive Chairman James J. Kim); insiders own ~30% and institutions ~50% — a long-horizon, reshoring-committed controller, but with the minority-alignment considerations typical of founder-controlled structures.

4. INDUSTRY & COMPETITIVE LANDSCAPE

- **Industry size & growth:** The global OSAT market is ~US\$ 50–75 Bn (2026, source-dependent), growing at a ~5–12% CAGR through 2031. The high-value engine is **advanced packaging** — fan-out wafer-level packaging is compounding at ~11% — driven by AI accelerators, HPC and chiplet architectures.
- **Policy tailwinds:** US CHIPS & Science Act (grants + 35% advanced-manufacturing ITC) directly subsidises Amkor's Arizona build; chiplet / heterogeneous-integration roadmaps and supply-chain re-shoring favour scaled OSATs. Headwinds: Asia-Pacific still holds ~70–75% of capacity, and US-built capacity is structurally higher-cost.

- **Moat — Scale: Strong:** #2 globally; capital intensity (US\$ 2.5–3.0 Bn capex) and decade-long customer qualification cycles are formidable barriers to new entrants.
- **Moat — Switching costs: Moderate:** Qualification lock-in is real but large customers (Apple, Qualcomm) dual-source across ASE and Amkor, capping pricing power.
- **Moat — Pricing power: Moderate–Weak:** OSAT is a service / margin business (mid-single-digit operating margins); pricing is cost-plus and competitive — only leading-edge AI packaging commands premium economics.
- **Value-chain position:** Midstream — the back-end (assembly/test) bridge between foundries (TSMC/UMC) and fabless OEMs; increasingly moving up-value into 2.5D/3D heterogeneous integration historically captured by foundries.

Peer comparison — capital-intensive semiconductor manufacturing / OSAT (stockanalysis.com, data as of 02-Jun-2026 close):

Company	CMP (US\$)	Mkt Cap	TTM Rev	P/E	P/B	EV/EBITDA	ROE
Amkor (AMKR)	74.74	\$18.5 Bn	\$7.07 Bn	43.0x	4.09x	15.3x	10.0%
ASE Technology (ASX)	39.26	\$86.3 Bn	\$20.98 Bn	58.4x	7.24x	23.4x	13.6%
United Micro (UMC)	22.46	\$52.2 Bn	\$7.53 Bn	33.3x	4.11x	15.5x	12.5%
Tower Semi (TSEM)	274.71	\$31.0 Bn	\$1.62 Bn	127.2x	10.40x	55.1x	8.7%

ASX (direct OSAT peer) and UMC (foundry) report financials in TWD; TTM Revenue shown is the USD figure. TSEM is a specialty foundry (silicon-photonics / RF) and an extreme AI-re-rating outlier. AMKR screens cheapest on P/B and joint-lowest on EV/EBITDA in a uniformly re-rated peer set — expensive vs its own history, not vs peers.

5. MANAGEMENT QUALITY & CAPITAL ALLOCATION

- **Leadership:** Kevin Engel (CEO from 01-Jan-2026) is a 20-year Amkor veteran who ran the Flip-Chip/Wafer-Level business unit and was COO — an internal, continuity-driven succession (predecessor Giel Rutten advised through Mar-2026 and stays on the Board). CFO Megan Faust. Founder James J. Kim remains Executive Chairman.
- **Capital allocation — reinvestment-first:** Free cash flow has been ploughed back into capacity. Capex rose from US\$ 749 M (FY23) to US\$ 905 M (FY25) and is guided to **US\$ 2.5–3.0 Bn in 2026** (~3x), of which 65–70% funds facilities (Arizona) and 30–35% funds HDFO/test tools — an aggressive, growth-led, FCF-consuming stance.
- **Dividend policy:** Modest and rising — DPS US\$ 0.30 (FY23) → US\$ 0.33 (FY25), payout ~19–22% of earnings, yield ~0.45%. The dividend signals balance-sheet health, not a return driver; capex takes priority.
- **Balance-sheet discipline:** Net cash of US\$ 474 M (FY25), D/E 0.33, Net-Debt/EBITDA -0.43x — entering the capex super-cycle from a position of strength, partly funded by CHIPS grants, the 35% ITC and customer prepayments.
- **Buybacks / dilution:** Negligible buybacks; share count creeps up ~0.3% p.a. on ESOP. New-CEO equity awards (~US\$ 6 M target) are standard and not dilutive at scale.
- **Governance watch-items:** Family control (Kim family) concentrates decision-making; customer concentration (Apple ~30%) and the scale of the Arizona bet mean capital-allocation outcomes hinge on a few relationships and one large, multi-year project executing on time and budget.

6. FINANCIAL DEEP-DIVE

Income Statement (US\$ M, fiscal year to 31-Dec; FY26E/FY27E = analyst estimates)

Income Statement	FY2023	FY2024	FY2025	FY2026E	FY2027E
Revenue	6,503	6,318	6,708	7,650	8,800
Revenue growth %	-8.3%	-2.9%	+6.2%	+14.0%	+15.0%
Gross Profit	943	933	939	1,185	1,420
Operating Income (EBIT)	470	438	467	600	740

Income Statement	FY2023	FY2024	FY2025	FY2026E	FY2027E
Operating margin %	7.2%	6.9%	7.0%	7.8%	8.4%
EBITDA	1,102	1,033	1,109	1,330	1,560
EBITDA margin %	16.9%	16.4%	16.5%	17.4%	17.7%
Pretax Income	444	431	445	595	740
Net Income	360	354	374	530	645
Net margin %	5.5%	5.6%	5.6%	6.9%	7.3%
EPS (diluted, US\$)	1.46	1.43	1.50	2.13	2.59

Balance Sheet (US\$ M)

Balance Sheet	FY2023	FY2024	FY2025
Cash & ST investments	1,595	1,647	1,991
Accounts receivable	1,149	1,055	1,355
Inventory	393	311	438
Total current assets	3,196	3,073	3,885
Net property, plant & equip.	3,416	3,686	3,964
Total assets	6,771	6,944	8,136
Total debt	1,294	1,244	1,517
Total current liabilities	1,384	1,455	1,712
Total liabilities	2,776	2,761	3,630
Total equity	3,995	4,183	4,506
Net cash / (net debt)	301	402	474
Book value / share (US\$)	16.03	16.74	18.00

Cash Flow (US\$ M) — note the FY26E free-cash-flow reversal on the ~3x capex surge:

Cash Flow	FY2023	FY2024	FY2025	FY2026E
Operating cash flow	1,270	1,089	1,096	1,250
Capital expenditure	(749)	(744)	(905)	(2,750)
Free cash flow	521	345	191	(1,500)
Dividends paid	(75)	(179)	(82)	(85)
Net change in cash	158	14	312	n/a

Returns & Ratios (FY actuals + TTM to 31-Mar-2026)

Metric	FY2023	FY2024	FY2025	TTM
Return on equity (ROE)	9.4%	8.7%	8.7%	10.0%
Return on capital (ROCE)	8.9%	8.1%	7.8%	8.3%
Return on invested cap (ROIC)	9.2%	8.7%	8.7%	9.0%
Current ratio	2.31	2.11	2.27	2.01
Debt / equity	0.32	0.29	0.33	0.32
Net debt / EBITDA	(0.27)	(0.39)	(0.43)	(0.31)
Inventory turnover (x)	10.9	15.3	15.4	13.0

- **Revenue drivers:** After two declining years (FY23 -8%, FY24 -3%) on mobile weakness, growth re-accelerated to +6% (FY25) and +27% YoY in Q1-2026, led by AI/HPC computing and record advanced-packaging revenue. We model +14% (FY26E) and +15% (FY27E) on the AI ramp and the HDFO CPU program.

- **Margin direction:** Gross margin troughed near 14% and is guided up to 14.5–15.5% in Q2-2026, heading to mid-to-high teens in H2 on utilisation (low-70s and rising) and richer AI mix. Operating margin is still only mid-single-digit — the recovery is real but early, and 2027 carries 1–2% dilution from Arizona start-up.

- **Working capital:** Receivables jumped ~28% in FY25 (US\$ 1,055M → 1,355M) versus +6% revenue — partly Q4 seasonality and the AI ramp, but a line to watch. Inventory turns are healthy (~15x).
- **Balance sheet:** Net cash US\$ 474 M, D/E 0.33 — comfortably geared to fund the capex cycle, supplemented by CHIPS grants, the 35% ITC and customer prepayments.
- **FCF quality — the key tension:** Cash conversion is strong (FY25 OCF US\$ 1.10 Bn = ~2.9x PAT, reflecting US\$ 642 M of D&A), but FCF has fallen US\$ 521M → 345M → 191M and turns **deeply negative (~ -US\$ 1.5 Bn) in FY26E** as capex triples. FCF will stay pressured until Arizona/AI capacity monetises (2028–2030).

7. EARNINGS QUALITY CHECKLIST

Check	Rating	Commentary
Revenue recognition	GREEN	OSAT service revenue, recognised on delivery; record advanced-packaging revenue is volume-verifiable.
Receivables vs revenue	AMBER	AR +28% in FY25 vs +6% revenue — Q4 seasonality + AI ramp; monitor DSO into FY26.
Cash conversion (OCF/PAT)	GREEN	FY25 OCF US\$ 1.10 Bn = ~2.9x PAT; D&A-heavy model converts earnings to cash well.
Free-cash-flow trend	RED	FCF fell 521→345→191 (US\$ M) and turns deeply negative in FY26E on the ~3x capex surge.
Balance-sheet leverage	GREEN	Net cash US\$ 474 M; Net-Debt/EBITDA -0.43x; D/E 0.33 — strong entering the capex cycle.
Other income as % of PBT	AMBER	Other non-operating income US\$ 53 M = ~12% of FY25 pretax US\$ 445 M — watch reliance on non-core items.
Tax-rate consistency	AMBER	Effective tax swung 9.7%→18.4%→15.4% across FY22–25; guided to ~20% for FY26.
Customer concentration	RED	Apple ~29.8%, Qualcomm ~11.1%; top-10 = ~72% of FY25 sales — structural single-name dependence.
Capex intensity	RED	Capex/sales rising toward ~35–40% (FY26E); heavy reinvestment is the central FCF risk.

- **Two Red flags dominate:** (i) free cash flow turning deeply negative on the ~3x capex surge, and (ii) customer concentration — Apple alone is ~30% of sales, so an iOS unit air-pocket would hit Amkor disproportionately.
- **Amber items to monitor:** receivables growing well ahead of revenue, a volatile effective tax rate (guided up to ~20%), and ~12% of pretax profit coming from non-operating 'other income'.
- **The Greens are genuine:** clean service-revenue recognition, strong OCF-to-PAT conversion, and a net-cash balance sheet — the earnings base is real; the risk is the price paid for its growth, not its quality.

8. VALUATION

Peer multiples (stockanalysis.com, as of 02-Jun-2026 close):

Company	P/E	Fwd P/E	P/B	EV/EBITDA	ROE	Op. margin
Amkor (AMKR)	43.0x	34.0x	4.09x	15.3x	10.0%	7.6%
ASE Technology (ASX)	58.4x	32.5x	7.24x	23.4x	13.6%	8.7%
United Micro (UMC)	33.3x	30.1x	4.11x	15.5x	12.5%	18.8%
Tower Semi (TSEM)	127.2x	72.5x	10.40x	55.1x	8.7%	13.9%
AMKR 5-yr avg	~16.9x	—	~1.9x	~6.0x	~14.9%	~8.5%

AMKR trades at ~2.5x its own 5-year-average P/E and EV/EBITDA — the re-rating, not earnings, has driven the share price. Yet within today's (frothy) peer set it is the cheapest on P/B and near-cheapest on EV/EBITDA. The binary risk is sector-wide multiple compression.

Scenario analysis (12-month)

Scenario	Key assumptions	EPS	Mult.	Target	vs CMP
Bull	AI adv-packaging >3x; GM to high-teens; market keeps premium ~34x fwd; comms recovers.	2.85	34x	US\$ 97	+30%
Base	Guidance delivered; GM mid-teens; multiple normalises to ~29x FY27E; capex per plan.	2.60	29x	US\$ 76	+2%
Bear	AI ramp slips / supply-constrained; Apple unit softness; de-rate toward history (~19x) on FY26E EPS.	2.05	19x	US\$ 39	-48%

- **DCF (sanity check):** A high beta (2.31) implies WACC ~10.5–11%; terminal growth ~3%. Deeply negative FCF through 2026–2028 (capex cycle) followed by an AI/Arizona-led FCF recovery from 2029 discounts to a base value of roughly **US\$ 70–74** per share — highly sensitive to the post-2028 margin/FCF assumption.

- **Earnings-multiple method:** ~29x FY27E EPS of US\$ 2.60 = **US\$ 75**; cross-checked by ~14x FY26E EV/EBITDA of US\$ 1.33 Bn ≈ US\$ 76–78. We anchor the premium to the credible AI mix-shift, not to the cyclical past.
- **Blended 12-month target = US\$ 76** (average of DCF ~US\$ 72 and multiple-based ~US\$ 76–78), implying ~+2% from CMP US\$ 74.74 over a 12-month horizon.
- **Read-through:** The stock sits essentially at the ~US\$ 75.50 street consensus target and at our base case. Risk/reward is downside-skewed at US\$ 74.74 (bull +30% vs bear -48%) — the AI optionality is already in the price.

9. KEY RISKS

- **Valuation / multiple compression** — At 43x trailing (2.5x its history), any AI-cycle wobble or rate / risk-off shock could de-rate the whole OSAT complex. Probability: **M–H**. Impact: **H**. Monitor via: forward P/E vs peers; semiconductor-capex sentiment.
- **Customer concentration (Apple ~30%)** — An iOS unit air-pocket or insourcing / dual-sourcing shift hits revenue disproportionately. Probability: **M**. Impact: **H**. Monitor via: Apple unit data; communications segment YoY.
- **Capex / FCF risk** — US\$ 2.5–3.0 Bn 2026 capex makes FCF deeply negative; cost / timeline overruns at Arizona would stress the balance sheet. Probability: **M**. Impact: **M–H**. Monitor via: quarterly FCF; Arizona milestone updates.
- **AI demand normalisation** — The 'triple in 2026' story assumes sustained AI/HPC orders; a hyperscaler digestion phase would deflate the thesis. Probability: **M**. Impact: **H**. Monitor via: compute-segment growth; utilisation trend.
- **Margin disappointment** — OSAT is structurally mid-single-digit operating margin; pricing pressure or under-utilisation could stall the guided margin step-up. Probability: **M**. Impact: **M**. Monitor via: gross-margin trajectory; utilisation %.
- **Cyclicality & high beta (2.31)** — Semis are deeply cyclical; the stock has roughly doubled and can give back fast in a downturn. Probability: **M**. Impact: **H**. Monitor via: industry inventory; book-to-bill.
- **Geopolitical / supply-chain** — Asia-concentrated capacity (Korea, China, Taiwan-adjacent) and tariff / material-delay risk. Probability: **M**. Impact: **M**. Monitor via: trade policy; lead-time commentary.

10. RECOMMENDATION

- **Rating: HOLD** — conviction **Medium**. A high-quality, secularly-advantaged OSAT executing well on the AI advanced-packaging shift, but with the re-rating already done and the risk/reward downside-skewed at US\$ 74.74.
- **12-month price target: US\$ 76** (~+2% from CMP US\$ 74.74) — essentially at the street consensus (~US\$ 75.50).
- **Suggested entry zone: US\$ 55–62** — where forward P/E compresses toward ~25–28x and a margin of safety re-appears; accumulate on AI-cycle volatility, not at the highs.
- **Investment horizon:** 12 months tactically; the structural Arizona/AI thesis is a 3–5-year story (full monetisation 2029–2030).

Thesis-invalidation triggers (would make HOLD wrong — either way):

- **Upgrade trigger:** Advanced-packaging revenue tracks ahead of the 'triple in 2026' AND gross margin sustainably exceeds 16% — would justify BUY toward the bull case (~US\$ 97).
- **Downgrade trigger:** Computing-segment growth decelerates below ~10% YoY for two consecutive quarters, or utilisation rolls back to the low-60s — would justify REDUCE toward the bear case.
- **Balance-sheet trigger:** Arizona cost / timeline slips materially or net debt rises above ~1.5x EBITDA — would break the 'self-funded capex' pillar.

Ideal investor profile: Suited to patient, AI-infrastructure-thematic investors who can tolerate high volatility (beta 2.31), negative near-term FCF and customer concentration, and who buy on weakness. **Not for** value/income

investors, the FCF-yield-focused, or anyone needing downside protection at today's full multiple.

APPENDIX — Latest Concall Brief: Q1 FY2026 (call 04-May-2026)

CALL GRADE: POSITIVE

Signal	Status	Implication
Result quality	Strong	Record Q1 revenue US\$ 1.68 Bn, +27% YoY; EPS US\$ 0.33 — beat.
Management tone	Bullish	Confident on AI advanced-packaging ramp; 'momentum and demand'.
Guidance delta	Raised	Q2 +7% QoQ, GM 14.5–15.5%; comms outlook revised higher; AP 'tripling' reiterated.

STRONGLY POSITIVE | **POSITIVE** | NEUTRAL | CAUTIOUS | NEGATIVE

TO MY BOSS

Amkor's Q1-2026 was a clean beat, not a cosmetic one: record first-quarter revenue of US\$ 1.68 Bn (+27% YoY) with EPS of US\$ 0.33 (up from US\$ 0.09 a year ago), driven by genuinely higher-value AI advanced-packaging volume (HDFO and flip-chip), not one-offs. The sequential dip versus Q4's US\$ 1.89 Bn is pure seasonality (iOS). Underlying operations are improving — EBITDA US\$ 271 M, margin recovering toward the mid-teens, utilisation up to the low-70s from the 50s a year ago. The multi-bagger pillar is the structural mix-shift to AI/HPC computing (guided +20% in 2026, with the advanced-packaging portfolio set to triple), now underwritten by customer prepayment and loading agreements on a new HDFO data-center CPU program — plus the US\$ 7 Bn Arizona reshoring build with ~US\$ 2.8 Bn of CHIPS/ITC support. The most important near-term catalyst is the H2 ramp of that CPU program (meaningful from Q3, scaling into 2027). The single biggest watch-point is the collision of a ~3x capex surge (US\$ 2.5–3.0 Bn) that drives free cash flow deeply negative with a stock already at 43x trailing earnings, sitting on the consensus target. Net: the business is firing, but the price isn't — **HOLD into strength; accumulate only on a pullback to the mid-US\$ 50s; trim above ~US\$ 85 where the bull case is fully discounted.**

Concall 1 — Financial Performance Snapshot

- Revenue: US\$ 1,684.7 M | YoY **+27.5%** | QoQ **-10.8%** (seasonal) | **Beat** (record Q1).
- EBITDA: US\$ 271.2 M | YoY +46.3% | QoQ -22.7% | margin 16.1% (vs 14.0% Q1-25, 18.6% Q4-25).
- EBITDA margin: 16.1% | **improving YoY**; QoQ down on seasonal volume.
- PAT: US\$ 83.4 M | YoY +294% (from US\$ 21.1 M) | QoQ -51% | **Beat**.
- EPS (diluted): US\$ 0.33 | YoY from US\$ 0.09 | QoQ from US\$ 0.69 | **Beat** — no exceptional items distorting the print.

Concall 2 — Segment / End-Market Breakdown

- Computing (AI/HPC, data-center, PC): fastest grower, guided **+20% YoY for 2026**; advanced packaging (2.5D + HDFO) set to triple.
- Communications (smartphones/tablets, ~40% of mix): outlook revised **higher** to high-single-digit / low-double-digit; iOS seasonal in Q1.
- Automotive & Industrial: strong, led by advanced-packaging content growth.
- Consumer: low-single-digit — the laggard end-market.

Concall 3 — Management Commentary Themes

- AI advanced packaging: 'still on track for tripling' in 2026 — Our read: the core thesis. Tag: GUIDANCE. Tone: Transparent.

- HDFO CPU program: customer prepayment + loading agreements support capex — Our read: de-risks the build. Tag: GUIDANCE. Tone: Transparent.
- Arizona (phase one): follows the Vietnam playbook (OpEx during build → COGS post-qualification) — Our read: 1–2% margin drag in 2027. Tag: EST. Tone: Hedged.
- Utilisation: Q1 in the 'low-70s' vs 50s a year ago; advanced lines 'filling up' — Our read: real demand. Tag: GUIDANCE. Tone: Transparent.
- Pricing: increases 'throughout the year' offset cost inflation — Our read: defends, not expands, margin. Tag: EST. Tone: Balanced.
- CoWoS-L / EMIB-Intel: 'a 2027 discussion' / 'don't wanna talk too much about that' — Our read: optionality, undisclosed. Tag: EVASIVE. Tone: Evasive.

Concall 4 — Operating & Business Metrics

- Factory utilisation: Q1-26 'low-70s' | Q4-25 higher (seasonal) | Q1-25 '50s' | Trend: improving.
- Korea cleanroom: +~20% by end-2026 vs early-2025; new building online exiting 2026 | Trend: expanding (2027 headroom).
- Vietnam: SiP product migration ramping — frees Korea advanced capacity | Trend: improving.
- Advanced-packaging revenue: record in Q1-26; 2.5D + HDFO nearly tripling across 2026 | Trend: improving.

Concall 5 — Margin Drivers

- Utilisation (low-70s and rising): +ve | Recurring: Yes | the primary gross-margin lever into H2.
- AI / advanced-packaging mix: +ve | Recurring: Yes | richer content per wafer lifts blended margin.
- Pricing actions: neutral-to-+ve | Recurring: Yes | offset, not beat, cost inflation.
- Arizona start-up OpEx: -ve (1–2% op-margin) | Recurring: No (transitional) | begins 2027 — do not extrapolate into the trend.

Concall 6 — Guidance & Forward Signals

- Q2-26 revenue [GUIDANCE]: US\$ 1.75–1.85 Bn (+7% QoQ mid) | Credibility: High.
- Q2-26 gross margin [GUIDANCE]: 14.5–15.5% (up sequentially) | Credibility: High.
- Q2-26 EPS [GUIDANCE]: US\$ 0.42–0.52 | Credibility: High.
- FY2026 capex [GUIDANCE]: US\$ 2.5–3.0 Bn (~3x FY25); 65–70% facilities | Credibility: High.
- FY2026 computing [GUIDANCE]: +20% YoY; advanced packaging tripling | Credibility: Medium–High (supply/ramp-dependent).
- FY2026 tax rate [GUIDANCE]: ~20% | Credibility: High.

Concall 7 — Capital Allocation

- Capex: US\$ 2.5–3.0 Bn (FY26E) vs US\$ 905 M (FY25), ~+200% — Arizona + HDFO/test tools.
- Arizona funding: ~US\$ 400 M CHIPS grant + 35% ITC (~US\$ 2.8 Bn support) + customer contributions + internal liquidity/debt.
- Dividends: ~US\$ 0.33/sh, payout ~19% — maintained, not the priority.
- Buybacks: negligible — cash earmarked for the capex cycle.
- Net debt: net-cash US\$ 474 M (FY25) — will erode as capex outruns OCF in 2026.

Concall 8 — Q&A Heat Map

- Jim Schneider (Goldman): Q: H2 gross-margin path vs pricing/supply? → A: mid/high-teens GM on utilisation + mix; pricing offsets cost. | Tone: Transparent.

- Ben Reitzes (Melius): Q: timing of Arizona margin dilution? → A: 'too early'; Vietnam-style, full impact 2030. | Tone: Hedged.
- Craig Ellis (B. Riley): Q: utilisation & headroom? → A: low-70s; advanced filling, mainstream room; Korea adds 2027 headroom. | Tone: Transparent.
- Peter Peng (JPMorgan): Q: is 3x AP growth demand- or supply-constrained? → A: on track, could exceed; silicon/memory are variables. | Tone: Transparent.
- Denis Pyatchanin (Needham): Q: end-market ranking & Arizona financing? → A: Compute>Auto>Comms>Consumer; ~US\$ 2.8 Bn public support. | Tone: Transparent.
- Dodged / watch-list for next quarter: EMIB/Intel collaboration specifics; CoWoS-L timeline; exact Arizona margin-dilution date.

Concall 9 — Risks Flagged

- Material delays / supply-chain: described as 'manageable' | Flagged by: mgmt | Prob: M | Impact: M | near-term.
- Pricing pressure: ongoing, offset by actions | Flagged by: mgmt/analyst | Prob: M | Impact: M | near-term.
- Arizona execution & margin dilution: 1–2% op-margin drag in 2027 | Flagged by: mgmt | Prob: M | Impact: M | medium-term.
- PC softness ('customer rebalancing'): | Flagged by: analyst | Prob: M | Impact: L–M | near-term.
- AI / compute supply constraints (silicon, memory): could cap the 'triple' | Flagged by: mgmt | Prob: M | Impact: M | near/medium.

Concall 10 — Analyst Verdict

- Revenue visibility: **Intact** — record AP revenue + contracted CPU program + +27% YoY.
- Margin trajectory: **Intact** — GM guided up; utilisation rising; the 2027 Arizona drag is known/transitional.
- Capital-allocation quality: **Weakened** — aggressive ~3x capex drives FCF deeply negative; execution-dependent.
- Competitive moat: **Intact** — #2 scale, qualification lock-in, advancing up the 2.5D/3D value chain.
- Management credibility: **Intact** — smooth internal CEO handover; guidance met/raised.
- Valuation comfort: **Broken** — 43x trailing / 34x forward, ~2.5x own history, at the consensus target.
- Conviction call: **Unchanged** — HOLD; business strong, price full.
- Valuation snapshot: P/E = 43.0x (5Y avg ~16.9x) | EV/EBITDA = 15.3x (5Y avg ~6.0x) | ROCE = 7.8% (5Y avg ~11%).